

before taking off and flying to D in a nice straight-line run that saw the stock triple in price.

The stock moved sideways again at E (another flat base, but shorter), dropped to F (not a fast drop), and soared to G. The EFG move is a pattern similar to the prior two (this chart and the prior figure), but not as clean looking nor as successful.

The pattern in [Figure 1.1](#) happened in 2013–2014. Pattern AB ([Figure 1.2](#)) happened in 2013–2016, and pattern EF occurred in 2018. In other words, I'm finding the same pattern in different years, which is a good thing (potentially different market conditions). Flat base, sudden drop, and fast move higher: Could this be a winning setup that's worked for years?

After finding a number of these patterns, I hunted for those that failed to perform as expected. [Figure 1.3](#) shows an example of a failure (weekly chart). Notice that the flat base at A started in late 2014, the same as the other two charts. Price moved horizontally at A, dropped swiftly to B, and recovered but only to C before it tumbled to make a lower low at D. After D, though, the stock *did* take flight and delivered (a pun on the package delivery service, in case you missed it), which was reassuring if you buy and hold but terrifying for a swing or position trader who bought before C.

I looked for other examples and eventually catalogued my results. The research led to a pattern I call a diving board. I hunt for it on the weekly scale, but I've noticed variations of this pattern on the daily charts, too.